Inflation forecasts with publication lags

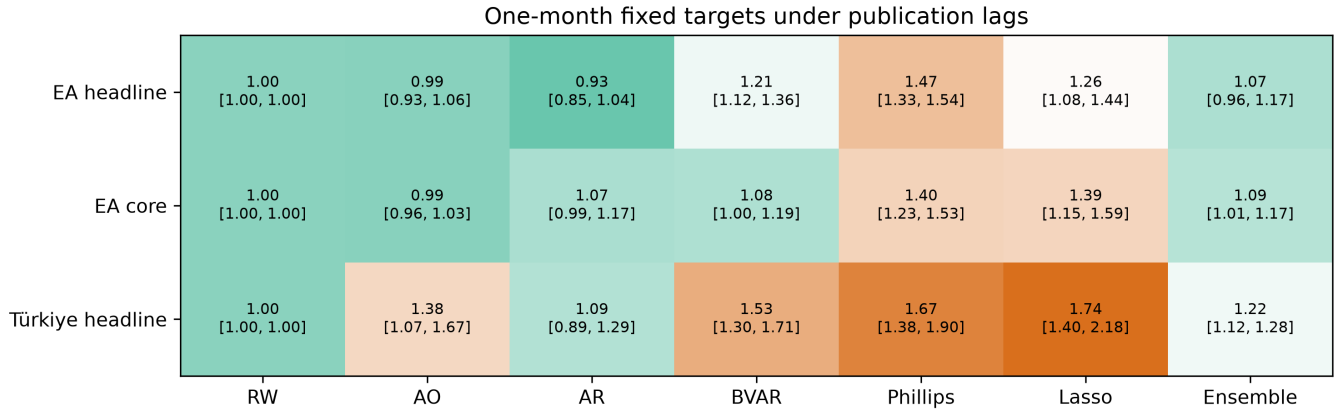
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Question

Do fixed inflation models improve on simple benchmarks when we respect assumed publication delays, and how sensitive are German GDP nowcasts to pandemic quarters?

Method

We forecast fixed year-on-year inflation targets at horizons of 1, 3, 6 and 12 months using expanding training windows and unchanged model settings. We assume final prices are published one month after their reference month and unemployment two months later, and forecast the extra steps from each effective data cutoff to the fixed target. We compare model errors against random-walk and Atkeson-Ohanian-style rules using paired loss intervals and fixed-bandwidth DM-HLN tests. We also compare bridge, MIDAS and factor nowcasts for German GDP under simulated release masks.



RW = 1; 90% paired-block loss intervals. Same target dates and assumed availability calendar; latest vintage.

Eurostat and CBRT/EVDS-TURKSTAT. Atkeson and Ohanian (2001), DOI: 10.21034/qr.2511.

Three findings for the decision-maker

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1. With publication delays, EA core BVAR/RW RMSE is 1.077 (90% loss interval 0.999, 1.193) and the EA headline ensemble/RW ratio is 1.071 (0.960, 1.167). These results do not support a general accuracy gain over the random walk.

2. Türkiye deteriorates at h = 12: BVAR/RW RMSE is 2.389 and AR/RW is 1.950. The 2021-23 inflation surge is consistent with difficult regime adaptation, but this comparison does not identify its separate causal contribution.

3. German GDP nowcasts are pandemic-sensitive: month-3 DFM/bridge RMSE is 1.552 (0.778, 1.709) overall and 0.822 (0.702, 0.971) excluding 2020Q1-2021Q2. GDP is q/q log growth, not annualised.

Limitations

- Publication masks on latest-vintage data do not recreate historical vintages.
- The conservative unemployment delay reduces information for models using it.
- Fixed HAC and loss-bootstrap rules may leave dependence unaccounted for.
- Fixed learners and priors may adapt poorly to an inflation regime change.
- GDP rankings are pandemic-sensitive and some factor fits did not converge.

Detailed assumptions, diagnostics and source lineage: the technical working paper and docs/PROVENANCE.md.